

**ARABIAN FOOD INDUSTRIES COMPANY
(DOMTY) - S.A.E AND ITS SUBSIDIARY**

**CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2022
TOGETHER WITH AUDITOR'S REPORT**

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary
CONSOLIDATED FINANCIAL STATEMENTS
For the Year ended 31 December 2022

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Nabil & Samaha & Partners
Public Accountants & Consultants

Allied for Accounting & Auditing - EY
Public Accountants & Consultants

INDEPENDENT AUDITORS' REPORT
TO THE BOARD OF DIRECTORS OF ARABIAN FOOD INDUSTRIES COMPANY (DOMTY) S.A.E
ON THE CONSOLIDATED FINANCIAL STATEMENTS

Introduction

We have audited the accompanying consolidated financial statements of *Arabian Food Industries Company (DOMTY) – S.A.E (the “Company” or the “Parent”) and its subsidiary (together “The Group”)*, represented in the consolidated statement of financial position as of 31 December 2022 and the related consolidated statements of profit or loss, statement of comprehensive income, changes in shareholders' equity and cash flows for the year then ended and a summary of significant accounting policies and other explanatory notes.

Management's Responsibility for the Financial Statements

These consolidated financial statements are the responsibility of the Company's management, as management is responsible for the preparation and fair presentation of the financial statements in accordance with the Egyptian Accounting Standards and applicable Egyptian law. Management responsibility includes designing, implementing and maintaining internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error. This responsibility also includes selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditors' Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with the Egyptian standards on auditing and applicable Egyptian laws. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance that the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's professional judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on these consolidated financial statements.

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Public Accountants & Consultants

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**INDEPENDENT AUDITORS' REPORT
TO THE BOARD OF DIRECTORS OF ARABIAN FOOD INDUSTRIES COMPANY (DOMTY) S.A.E
ON THE CONSOLIDATED FINANCIAL STATEMENTS – Contd.**

Opinion

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the consolidated financial position of **Arabian Food Industries Company (DOMTY) – S.A.E (the “Company” or the “Parent”)** and its subsidiary (**“The Group”**) as of 31 December 2022 and its consolidated financial performance and its consolidated cash flows for the year then ended, in accordance with the Egyptian Accounting Standards and the Egyptian laws and regulations relating to the preparation of these consolidated financial statements.



Dr Nabil Ahmed Abdel Majeed
FESAA
R.A.A (3155)
EFSA (166)

Auditors



Amr Waheed Bayoumi
FESAA
R.A.A (17555)
EFSA (358)

Cairo: 2 March 2023

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As of 31 December 2022

	Note	31 December 2022 LE	31 December 2021 LE
Assets			
Non-current assets			
Property, plant and equipment	(3)	693,270,370	730,770,964
Projects under construction	(4)	102,537,315	52,487,907
Investment in associates	(5)	4,018,553	4,629,853
Total non-current assets		799,826,238	787,888,724
Current assets			
Inventories	(6)	572,087,082	514,255,299
Accounts and notes receivable	(7)	591,657,820	637,237,807
Prepayments and other debit balances	(8)	262,894,317	185,882,445
Financial investment at amortized cost (Treasury bills)	(9)	432,491,851	271,922,299
Cash on hand and at banks	(10)	440,158,488	163,942,106
Total current assets		2,299,289,558	1,773,239,956
Total assets		3,099,115,796	2,561,128,680
Equity			
Issued and paid-up capital	(16)	56,521,739	56,521,739
Legal reserve		28,260,870	28,260,870
Special reserve (Share premium)	(16)	283,422,423	283,422,423
Other reserves		170,196	170,196
Retained earnings	(17)	735,481,971	462,285,065
Revaluation surplus	(36)	25,045,008	32,540,057
Merger reserve	(28)	(4,503,358)	(4,503,358)
Equity attributable to equity holders of the parent		1,124,398,849	858,696,992
Non-Controlling interest		9,438	9,130
Total equity		1,124,408,287	858,706,122
Non-current liabilities			
Term loans – non-current portion	(15)	130,598,717	93,128,480
Lease liabilities – non-current portion	(31)	31,921,473	39,738,138
Sales tax payable on plant and equipment	(19)	-	190,917
Long term notes payable		10,337	30,530
Deferred tax liabilities	(20)	34,768,351	46,809,502
Total non-current liabilities		197,298,878	179,897,567
Current liabilities			
Short term credit facilities	(12)	1,247,679,118	1,009,448,556
Term loans - current portion	(15)	28,529,643	30,851,568
Lease liabilities – current portion	(31)	11,850,672	10,223,717
Trade and notes payable	(13)	229,886,487	362,791,272
Machines installments – current portion	(18)	2,106,060	4,173,683
Provisions	(11)	22,193,416	6,785,113
Accrued expenses and other credit balances	(14)	138,201,762	82,517,801
Income tax payable	(20)	96,961,473	15,733,281
Total current liabilities		1,777,408,631	1,522,524,991
Total Liabilities		1,974,707,509	1,702,422,558
Total equity and liabilities		3,099,115,796	2,561,128,680

Finance Managing Director
Mr. Mohamed Abdelbaky Abdelrahman

Chairman
Eng. Omar Mohamed El Domaty

- The accompanying notes from (1) to (37) are an integral part of these consolidated financial statements.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

For the year ended 31 December 2022

	Note	2022 LE	2021 LE
Sales	(32)	5,217,873,446	3,360,510,105
Cost of sales	(32)	(3,946,629,934)	(2,607,430,561)
GROSS PROFIT		1,271,243,512	753,079,544
Selling and marketing expenses	(21)	(757,285,465)	(567,724,875)
General and administrative expenses	(22)	(84,828,829)	(58,663,628)
Net other operating income	(23)	53,291,312	36,381,144
Equity in losses of associate	(5)	(611,300)	-
Provisions no longer required	(9)	-	387,223
Impairment in Financial investment at amortized cost (Treasury bills)	(9)	(584,502)	-
Other Provisions	(11)	(17,360,800)	(611,079)
OPERATING PROFIT		463,863,928	162,848,329
Loss on sale of Trading Securities	(24)	(17,876,887)	-
Finance income	(25)	39,048,252	37,149,780
Finance expenses	(26)	(120,983,886)	(96,881,665)
PROFIT BEFORE CONTRIBUTION IN COMPREHENSIVE INSURANCE AND INCOME TAXES		364,051,407	103,116,444
Contribution in Comprehensive Insurance		(13,428,920)	(8,741,557)
Income tax expenses	(20)	(84,920,322)	(21,949,146)
PROFIT AFTER DEDUCTION OF CONTRIBUTION IN COMPREHENSIVE INSURANCE AND INCOME TAXES		265,702,165	72,425,741
Attributable to:			
Equity holders of the Parent		265,701,857	72,424,222
Non-Controlling interest		308	1,519
		265,702,165	72,425,741
Basic and diluted earnings per share attributable to equity holders of the Parent	(29)	0.76	0.209

-The accompanying notes from (1) to (37) are an integral part of these consolidated financial statements.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the year ended 31 December 2022

	2022	2021
	LE	LE
Profit for the year	<u>265,702,165</u>	<u>72,425,741</u>
Profit Attributable to:		
Equity holders of the Parent	265,701,857	72,424,222
Non-Controlling interest	<u>308</u>	<u>1,519</u>
Total comprehensive income	<u>265,702,165</u>	<u>72,425,741</u>
	<u>0.76</u>	<u>0.209</u>

-The accompanying notes from (1) to (37) are an integral part of these consolidated financial statements.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

For the year ended 31 December 2022

	Issued and paid-up capital	Legal reserve	Special reserve- share premium	Other reserves	Retained earnings	Fixed assets revaluation surplus	Merger reserve	Total	Non- Controlling interest	Total equity
	LE	LE	LE	LE	LE	LE	LE	LE	LE	LE
Balance as of 1 January 2021	56,521,739	28,260,870	283,422,423	170,196	483,339,623	40,412,571	(4,503,358)	887,624,064	7,611	887,631,675
Settlements resulting from application of EAS 47	-	-	-	-	(22,955,111)	(7,872,514)	-	(22,955,111)	-	(22,955,111)
Transferred from Fixed assets revaluation surplus to retained earnings according to option 3 – appendix A - EAS No. 13 revised - Note (36)	-	-	-	-	7,872,514	-	-	-	-	-
Dividends	-	-	-	-	(78,396,183)	-	-	(78,396,183)	-	(78,396,183)
Profit for the year	-	-	-	-	72,424,222	-	-	72,424,222	1,519	72,425,741
Balance as of 31 December 2021	56,521,739	28,260,870	283,422,423	170,196	462,285,065	32,540,057	(4,503,358)	858,696,992	9,130	858,706,122

Transferred from Fixed assets revaluation surplus to retained earnings according to option 3 – appendix A - EAS No. 13 revised - Note (36)	-	-	-	-	7,495,049	(7,495,049)	-	-	-	-
Profit for the year	-	-	-	-	265,701,857	-	-	265,701,857	308	265,702,165
Balance as of 31 December 2022	56,521,739	28,260,870	283,422,423	170,196	735,481,971	25,045,008	(4,503,358)	1,124,398,849	9,438	1,124,408,287

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

CONSOLIDATED STATEMENT OF CASH FLOWS

For the year ended 31 December 2022

	Note	2022 LE	2021 LE
OPERATING ACTIVITIES			
Profit before income taxes and minority share in profit		350,622,487	94,374,887
Depreciation of property, plant and equipment	(3)	96,395,767	85,744,473
Interest on treasury bills	(25)	(38,453,547)	(37,149,780)
Accrued withholding tax on treasury bills interest	(9)	3,096,544	3,548,877
Adjustment on accrued withholding tax on treasury bills interest		(3,548,877)	(1,865,570)
Interest on lease liability	(26)	4,311,150	4,644,526
Foreign exchange differences on loan balances	(15)	10,600,609	-
Equity in Losses of associate	(5)	611,300	-
Provisions	(11)	17,360,800	611,079
Impairment of accounts and notes receivables	(7)	39,281,652	7,804,795
Impairment of prepayments and other debit balances	(22)	2,829,238	4,825,333
Impairment of treasury bills	(9)	584,502	-
Provisions no longer required	(8)	(48,125)	(387,223)
Provision used	(11)	(1,952,497)	-
Loss on sale of trading security	(24)	17,876,887	-
(Gain) from sale of property, plant and equipment	(3)	(366,611)	(123,322)
(Gain) from disposal of right of use assets		(90,511)	-
		499,110,768	162,028,075
Change in inventories		(57,831,783)	(227,604,405)
Change in accounts and notes receivable		6,298,335	569,675
Change in prepayments and other debit balances		(57,096,808)	(33,898,741)
Change in trade and notes payable		(133,988,479)	56,144,748
Change in lease liability		-	(56,244)
Change in accrued expenses and other credit balances		55,493,044	18,045,414
CASH FLOWS PROVIDED FROM (USED IN) OPERATING ACTIVITIES		311,985,077	(24,771,478)
Income tax paid		(31,290,539)	(45,523,226)
Income tax deducted from collected treasury bills interest		(8,143,042)	(5,746,649)
NET CASH FLOWS PROVIDED FROM (USED IN) OPERATING ACTIVITIES		272,551,496	(76,041,353)
INVESTING ACTIVITIES			
(Payments) to Purchase property, plant and equipment	(3)	(35,358,747)	(34,217,772)
Proceeds from sale of property, plant and equipment		794,920	488,460
(Payments) to acquire projects under construction		(74,650,074)	(928,173)
(Payments) to acquire investment in associate		-	(4,629,853)
(Payments) to acquire trading securities		(80,005,902)	-
Proceeds from sale of trading securities		62,129,015	-
Proceeds from treasury bills interest		40,715,211	28,733,247
(Payments) to acquire treasury bills		(630,773,173)	(259,148,176)
Proceeds from matured treasury bills		467,809,788	258,616,753
NET CASH FLOWS (USED IN) INVESTING ACTIVITIES		(249,338,962)	(11,085,514)
FINANCING ACTIVITIES			
Proceeds from credit facilities		6,259,301,387	4,968,663,087
(Payment) of credit facilities		(6,021,070,825)	(4,706,350,901)
Proceeds from long term loans		55,399,271	-
(Payment) of long-term loan		(30,851,568)	(24,157,598)
(Payment) of lease interest	(31)	(4,311,150)	(8,502,367)
(Payment) of lease liabilities	(31)	(5,463,267)	(4,644,526)
(Payment) of Dividends		-	(78,396,183)
NET CASH FLOWS PROVIDED FROM FINANCING ACTIVITIES		253,003,848	146,611,512
Net increase in cash and cash equivalent during the year		276,216,382	59,484,645
Cash and cash equivalent - beginning of the year		163,942,106	104,457,461
CASH AND CASH EQUIVALENT – END OF THE year	(10)	440,158,488	163,942,106

Significant non-cash transactions:

- An amount of LE 222,988 (LE 59,387,365 in comparative balances) represents the increase in balances of right of use assets, and lease liabilities resulted from the application of Egyptian Accounting Standard No. (49) – Leases, starting from January 2021.

- The accompanying notes from (1) to (37) are an integral part of these consolidated financial statements.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2022

1 REPORTING ENTITY

Arabian Food Industries Company (DOMTY) – S.A.E (the “Company”) or (the “Parent”) was originally established under the name of Damati Company for Food Industries as a limited liability company under contract No. 18/84 dated 14 March 1984. The contract was amended on 18 July 1988 when the Company's headquarters changed, and on 14 August 1988 an Extraordinary General Assembly meeting was held and resolved to change the company's legal form from limited liability company to joint stock company subject to the Companies Law No. 159 of 1981 and its executive regulations.

Based on the shareholders resolution made in the Extraordinary General Assembly meeting held on 16 August 2005 the Company's name was changed to Domty Company for Food Industries "S.A.E"

Based on the shareholders resolution made in the Extraordinary General Assembly meeting held on 6 August 2006 the company name changed to Arabian Food Industries Company (Domty) S.A.E instead of Domty Company for Food Industries and the commercial register was amended.

The Company has been registered under the commercial register number 80124 on 7 September 1988.

The company's period is 50 years starting from 7 September 1988 till 6 September 2038 and is renewable.

The Company's headquarter is located at 32 c Taha Hussein Street, previously Murad Street - Giza

The main activities undertaken by the Company is to manufacture all types of dairy and food products, and reclamation and cultivation, establishment of feed factories, dairy farms, cow breeding and all food industries. The company may have an interest or participate in any way with the parties that carry out similar work to its work or that cooperate with it in achieving its purpose, in Egypt or abroad. For third parties, local and foreign companies and commercial agencies in the field of food industries.

The consolidated financial statements comprise the financial statements of Domty Company and its subsidiary, El Tatweer Food Industries Company (S.A.E) (collectively, the “Group”).

On 30 April 2014 the Company acquired 99.99% of the shares of El Tatweer Food Industries Company (S.A.E) (note 2).

EL Tatweer Food Industries Company was established as a joint stock company subject to the Companies Law No. 8 of 1997 and its regulations and for the purpose of establishing and operating a factory for the manufacture of different kinds of cheese, canning fruits and juice and the establishing of stores and a refrigerator for dairy products by cooling and freezing for the Company and for others, subject to the laws and its regulations.

The Company is registered under the commercial register number 37566 in the 11 March 2009.

The financial statements of the Company for the year ended 31 December 2022 were authorized for issuance in accordance with a resolution of the board of directors on 2 March 2023.

2 BASIS OF PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS

The consolidated financial statements have been prepared under the going concern assumption on a historical cost basis.

The financial statements are prepared and presented in Egyptian pounds, which is the company's functional currency.

On 30 April 2014, the Company acquired 99.99% El Tatweer for Food Industries Company (S.A.E) that was previously under the control of the shareholders of the Parent (the “Joint Control Transaction”) for LE 10,752,733 in cash. As this transaction involved the combination of businesses under joint control, the pooling of interests

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2022

2 BASIS OF PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

method of accounting was applied in the presentation of the consolidated financial statements as of 31 December 2012, 2013, 2014 which present the results of the Group as if El Tatweer for Food Industries Company (S.A.E) had always been part of the Group. Accordingly, the assets and liabilities transferred to the Company were recognized at historical amounts. The consolidated financial statements present the results and changes in equity of the Company and its subsidiary as if the Group had been in existence throughout the years presented.

On 24 May 2022, the investments of the Arab Food Industries Company "Domty" in El Tatweer for Food Industries Company (S.A.E) were increased by an amount of 3,750,000 Egyptian pounds, and this amount represents the value of completing the capital increase of the El Tatweer for Food Industries Company (S.A.E).

Statement of compliance

The financial statements of the company have been prepared in accordance with the Egyptian Accounting Standards and the applicable laws and regulations. The accounting policies applied this year are consistent with those applied in the previous year.

2-1 Basis of consolidation

(a) Subsidiaries

Subsidiaries are all entities over which the Group has the power to govern the financial and operating policies generally a shareholding of more than one half of the voting rights. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the Group controls another entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date that control ceases.

Accounting for business combination under EAS 29 only applies if it is considered that a business has been acquired. For acquisitions meeting the definition of a business, the purchase method of accounting is used to account for the acquisition of subsidiaries by the Group. The cost of an acquisition is measured as the fair value of the assets given, equity instruments issued, and liabilities incurred or assumed at the date of exchange, plus costs directly attributable to the acquisition. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date, irrespective of the extent of any non-controlling interest. The excess of the cost of acquisition over the fair value of the Group's share of the identifiable net assets acquired is recorded as goodwill. If the cost of acquisition is less than the fair value of the net assets of the subsidiary acquired, the difference is recognized directly in the statement of income.

Inter-company transactions, balances and unrealized gains on transactions between Holding company and its subsidiary are eliminated. Unrealized losses are also eliminated. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

(b) Transactions with Non-Controlling interests

The Group applies a policy of treating transactions with non-controlling interests as transactions with equity owners of the Group. For purchases from non-controlling interests, the difference between any consideration paid and the relevant share acquired of the carrying value of the net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

2-2 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES

The preparation of these Consolidated financial statements requires management to make judgments and estimates that affect the reported amounts of revenues, expenses, assets and liabilities, the accompanying disclosures and the disclosure of contingent liabilities at the reporting date. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the assets or liabilities affected in future periods.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2022

2 BASIS OF PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

Estimates and their underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised.

The key judgements and estimates that have a significant impact on the Consolidated financial statement of the Company are discussed below:

2-2-1 Judgments

Revenue recognition for sale of goods

In making their judgment, management considered the detailed criteria for the recognition of revenue from the sale of goods as set out in "EAS 48 Revenue from contracts with customers", and, in particular, whether the significant risks and rewards of ownership of the goods have passed to the buyer.

2-2-2 Estimates

Impairment of trade and other receivables

An estimate of the collectible amount of trade and other receivables is made when collection of the full amount is no longer probable. For individually significant amounts, this estimate is performed on an individual basis. Amounts which are not individually significant, but are past due, are assessed collectively and a provision is applied according to the length of time past due, based on historical recovery rates.

Useful lives of fixed assets

The company's management determines the estimated useful life of fixed assets for the purpose of calculating depreciation. The residual value of the fixed asset and its estimated useful life are reviewed at least at the end of each fiscal year - and when expectations differ from previous estimates, that change (changes) is treated as a change in an accounting estimate in accordance with Egyptian Accounting Standard No. (5) "Accounting Policies and Changes in Estimates" Accounting and Errors "in order to ensure that the method and duration of depreciation are consistent with the expected pattern of economic benefits arising from these assets. Accordingly, the estimated useful life of the item of machinery and equipment (bakery line) has been changed to 15 years instead of 10 years for the mechanical parts of the bakery line.

Taxes

The Company is subject to income taxes in Egypt. Significant judgment is required to determine the total provision for current and deferred taxes. The Company establishes provision, based on reasonable estimates, for possible consequences of audits by the tax authorities in Egypt. The amount of such provision is based on various factors, such as experience of previous tax audits and different interpretations of tax regulations by the Company and the responsible tax authority. Such differences of interpretations may be on a wide variety of issues depending on the conditions prevailing in Egypt.

Deferred tax assets are recognised for unused accumulated tax losses to the extent that it is probable that taxable profits will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits.

Impairment of non-financial assets

The Company assesses whether there are any indicators of impairment for all non-financial assets at each reporting date. The non-financial assets are tested for impairment when there are indicators that the carrying amounts may not be recoverable. When value in use calculations are undertaken, management estimates the expected future cash flows from the asset or cash-generating unit and chooses a suitable discount rate in order to calculate the present value of those cash flows

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2022

2 BASIS OF PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

2-3 SIGNIFICANT ACCOUNTING POLICIES

2-3-1 Foreign currency translation

Transactions in foreign currencies are initially recorded using the exchange rate prevailing on the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are retranslated using the exchange rate prevailing at the reporting date. All differences are recognized in the statement of income.

Nonmonetary items that are measured at historical cost in foreign currency are translated using the exchange rates prevailing at the date where the fair value was determined.

2-3-2 Financial Instruments

Egyptian Accounting Standard 47 "Financial Instruments" which replaced the Egyptian Accounting Standard 26 Financial Instruments: Recognition and Measurement. Egyptian Accounting Standard 47 was issued in 2019 and the standard began to be applied on or after 1 January 2021 in Egypt. Except for hedge accounting, retrospective application is required, but adjustment of comparative information is not mandatory.

The standard addresses three aspects of accounting for financial instruments: classification and measurement; impairment; and hedge accounting.

Classification and measurement

Under EAS 47, debt instruments are subsequently measured at fair value through profit or loss, amortized cost, or fair value through OCI. The classification is based on two criteria: The Company's business model for managing the assets; and whether the instruments' contractual cash flows represent 'solely payments of principal and interest' on the principal amount outstanding.

The assessment of the Company's business model was made as of the date of initial application and the assessment of whether contractual cash flows on debt instruments are solely comprised of principal and interest was made based on the facts and circumstances as at the initial recognition of the assets.

Impairment

The new impairment model according to EAS 47 requires the recognition of impairment provisions based on expected credit losses rather than only incurred credit losses as is the case under EAS 26. It applies to financial assets classified at amortized cost, debt instruments measured at fair value through other comprehensive income, contract assets under EAS 48 Revenue from Contracts with Customers, lease receivables, loan commitments and certain financial guarantee contracts.

Financial instruments – initial recognition and subsequent measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

i) Financial assets

Financial assets are classified, at initial recognition, as subsequently measured at amortized cost, fair value through other comprehensive income (OCI), and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them.

In order for a financial asset to be classified and measured at amortized cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level. Financial assets with cash flows that are not SPPI are classified and measured at fair value through profit or loss, irrespective of the business model.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2022

2 BASIS OF PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

The Company's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both. Financial assets classified and measured at amortized cost are held within a business model with the objective to hold financial assets in order to collect contractual cash flows while financial assets classified and measured at fair value through OCI are held within a business model with the objective of both holding to collect contractual cash flows and selling.

Impairment of financial assets

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's historical experience and informed credit assessment, that includes forward-looking information.

The Company consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash.

At each reporting date, the Company assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

ii) Financial liabilities

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

2-3-3 Lease Contracts

- EAS 49 replaces EAS 20 "Accounting for finance Leases". EAS 49 now requires lessees to recognize a lease liability reflecting future lease payments and a 'right-of-use asset' for virtually all lease contracts. There is an optional exemption of certain short-term leases and leases of low-value assets.
- On 30 September 2019, the company implemented Standard No. (49) with regard to financial lease contracts that were subject to the Financial Lease Law No. 95 of 1995 and its amendments, as well as financial lease contracts that arise under and are subject to Law No. 176 of 2018, regulating financial lease and factoring activities. The impact of the implementation has been recognized at that date.
- The company has fully implemented the Egyptian Accounting Standard No. (49) "Operating Leases" using the retrospective modification method on 1 January 2021, and the effect of the application has been recognized as shown in Note (3,30).

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

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2 BASIS OF PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

- The company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.
- The company applies a single recognition and measurement policy for all leases, except for short-term leases and leases of low-value assets.
- The company recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets

A- Right-of-use assets

- The company recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use).
- Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received.
- Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets based on the entity's applied depreciation policy.
- If ownership of the leased asset transfers to the company at the end of the lease term or the cost reflects the exercise of a purchase option at the end of the contract, depreciation is calculated using the estimated useful life of the asset based on the entity's applied depreciation policy.
- The right-of-use assets are also subject to impairment.

B- Lease Liability

- At the commencement date, a lessee shall measure the lease liability at the present value of the lease payments that are not paid at that date. The lease payments shall be discounted using the interest rate implicit in the lease if that rate can be readily determined. If that rate cannot be readily determined, the lessee shall use the lessee's incremental borrowing rate.
- At the commencement date, the lease payments included in the measurement of the lease liability comprise the following payments for the right to use the underlying asset during the lease term that are not paid at the commencement date:
 - Fixed payments, less any lease incentives receivable.
 - Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date.
 - Amounts expected to be payable by the lessee under residual value guarantees.
 - The exercise price of a purchase option if the lessee is reasonably certain to exercise that option.
 - Payments of penalties for terminating the lease, if the lease term reflects the lessee exercising an option to terminate the lease.

2-3-4 Revenue from contracts with customers

- Egyptian Accounting Standard No. (48) "Revenue from contracts with customers" requires enterprises to exercise judgment and take into account all relevant facts and circumstances when applying each step of the model to contracts with customers. The standard also specifies the method for calculating the incremental costs of obtaining a contract and the costs directly related to the performance of the contract. The standard also requires relevant disclosures.
- The new Egyptian Accounting Standard No. (48) "Revenue from contracts with customers" sets a new five-step model, which will be applied to revenue arising from contracts with customers as follows:

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2 BASIS OF PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

- **Step 1:** Defining the contract(s) with the customer: A contract is defined as an agreement between two or more parties that creates enforceable rights and obligations. It outlines the bases and criteria that must be met for each contract.
 - **Step 2:** Identify the performance obligations in the contract: A performance obligation is an undertaking in the contract, a contract with the customer, to transfer a good or service to the customer.
 - **Step 3:** Determine the transaction price: The transaction price is the amount of consideration that the company expects to be entitled to in exchange for transferring promised goods or services to the customer, excluding amounts collected on behalf of third parties.
 - **Step 4:** Allocate the transaction price to the performance obligations stipulated in the contract. For contracts that contain more than one performance obligation, the Group will allocate the transaction price to each performance obligation at the amount to which the Group expects to be entitled in exchange for meeting each performance obligation.
 - **Step 5:** Recognize revenue when the facility fulfils the performance obligation.
- **Sale of Goods**
The company's contracts with customers involve the sale of finished goods and generally include a single performance obligation. The Company has concluded that revenue from the sale of finished goods should be recognized when control of the asset is transferred to the customer, generally when the finished goods are delivered. Therefore, the application of the standard does not have any impact on the timing of revenue recognition.
 - **Variable price**
Some contracts for the sale of finished goods give customers the right to return or discount quantities. Prior to the application of Egyptian Accounting Standard No. (48), the company recognized revenue from the sale of goods measured at the fair value of the price received or receivable, after deducting returns and trade discounts. If the revenue cannot be measured reliably, the Group defers revenue recognition until the uncertainty has passed.
Under Egyptian Accounting Standard No. (48), the return and trade discount rights increase the variable price. The variable price is estimated at the conclusion of the contract and is credited until the relevant uncertainty clears up later. The application of restrictions on the variable price did not increase the amount of revenue to be deferred.
 - **Rights of return**
When the contract provides for giving the customer the right to return the goods within a specified period, the Group has taken in its previous estimates the expected returns using the probability-weighted average method of the amounts expected to be returned.
The amount of revenue related to the expected returns was deferred and included in the statement of financial position under the "Liability against expected sales return" item with a corresponding adjustment to the "Cost of sales" item. The carrying amount of the goods expected to be returned is included in the "Inventory".

Under Egyptian Accounting Standard No. (48), the price received from the customer is variable because the contract allows the customer to return the products. The Group used the expected value method to estimate the goods to be returned.

2-3-5 Property, plant and equipment and its depreciation

Property, plant and equipment are stated at historical cost net of accumulated depreciation and accumulated impairment losses and the difference of foreign exchange difference will be added according to EAS 13-A (the effect of change in foreign exchange). Such cost includes the cost of replacing part of the plant and equipment

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2 BASIS OF PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

when that cost is incurred, if the recognition criteria are met. Likewise, when a major inspection is performed, its cost is recognized in the carrying amount of the property, plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognized in the statement of income as incurred.

Depreciation of an asset starts when it is in the location and condition necessary for it to be capable of operating in the manner intended by management, and is computed using the straight-line method according to the estimated useful life of the asset as follows:

	<u>Depreciation %</u>
Buildings	2.5%
Machinery and equipment	6.7%-10%
Motor vehicles	10% - 20%
Tools	15%
Computers and software	20% -25%
Furniture and fixtures	10%-20%

Property, plant and equipment are derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset is included in the statement of income when the asset is derecognized.

Company has changed the useful life of some vehicles and machinery and equipment (packing- Tetrapack) items and effective from 1 January 2017 as follows:

	<u>Before change Depreciation %</u>	<u>After change Depreciation %</u>
Motor vehicles	20%	10%
machinery and equipment (packing- Tetrapack)	10%	8.3%

The assets residual values, useful lives and methods of depreciation are reviewed at each financial year end.

The Company assesses at each reporting date whether there is an indication that property, plant and equipment may be impaired. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Impairment losses are recognized in the statement of income

A previously recognized impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the statement of income.

2-3-6 Projects under construction

Projects under construction represent the amounts that are incurred for the purpose of constructing or purchasing property, plant and equipment until it is ready to be used in the operation, upon which it is transferred to property, plant and equipment. Projects under construction are valued at cost less impairment if any.

2-3-7 Investments in subsidiaries

Investments in subsidiaries are investments in entities which the Company has control. Control is presumed to exist when the parent owns, directly or indirectly through subsidiaries more than half of the voting power of the investee, unless, in exceptional circumstances, it can be clearly demonstrated that this is not the case.

Investments in subsidiaries are accounted for at cost inclusive transaction cost and in case the investment is impaired, the carrying amount is adjusted by the value of this impairment and is charged to the statement of income for each investment separately.

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2 BASIS OF PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

2-3-8 Investments in Associates

Investment in associates is investment in an entity over which the Company has a significant influence, but it is neither a subsidiary company nor a joint venture project. Significant influence exists when the company directly or indirectly owns 20% or more of the voting rights in the invested company, unless in exceptional circumstances, it can be clearly determined that such ownership does not constitute influence.

Investments in associate companies are accounted for in the consolidated financial statements using equity method accordingly, investment is initially recognized at cost, including the cost of the acquisition, and then adjusted with the change in the company's share in the net assets of the sister company during the post-acquisition period, and includes profits and losses of its share in the associate's income statement, also, the other comprehensive income of the Company is including the share in the other comprehensive income of the associate.

The book value of the investment is reduced by dividend distribution obtained from the associate company.

2-3-9 Treasury bills

In accordance with the requirements of Egyptian Accounting Standard No. (47) "Financial Instruments", treasury bills have been classified on the basis of their measurement - later - at amortized cost through profits or losses, and treasury bills that are being purchased are valued at the nominal value and the difference between the purchase cost and the nominal value is recorded as a deferred investment return of treasury bills and it is amortized with the value of the treasury bills proceeds due "Interest" for the financial period through profits or losses until the maturity date of the treasury bills, and the tax due on the treasury bills returns is recorded, and upon collection, the discounted tax is recorded in the statement of financial position until it is settled with the annual tax return.

2-3-10 Inventories

Inventories are stated at the lower of cost and net realizable value. Costs are those expenses incurred in bringing each product to its present location and condition as follows:

a) **Raw materials and Spare parts:** at purchase cost on a weighted average basis.

b) **Work in process :** On the basis of the cost of production, the last stage that has been completed according to the lists of costs or net realizable value, whichever is less.

The cost includes direct materials, direct labor and a share of indirect industrial costs and does not include borrowing costs

c) **Finished goods:** at the lower of the cost of production (based on the costing sheets) or net realizable value. Cost includes direct materials, direct labor and allocated share of manufacturing overhead excluding borrowing cost

Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

The amount of any write down of inventories to net realizable value and all losses of inventories shall be recognized in cost of sales in the statement of income in the year the write down or loss occurs. The amount of any reversal of any write down of inventories, arising from an increase in net realizable value, shall be recognized as reduction of cost of sales in the statement of income in the year in which the reversal occurs.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2022

2 BASIS OF PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

2-3-11 Accounts receivable and other receivables

Accounts receivable and other receivables are stated at original invoice amount net of any impairment losses.

The company applies the simplified approach allowed by the Egyptian Accounting Standard No. (47) "Financial Instruments", which requires the recognition of expected credit losses on aging for customers in the statement of profits or losses.

2-3-12 Accounts and notes payable, accrued expenses and other payables

Liabilities are recognized for amounts to be paid in the future for goods or services received, whether billed by the supplier or not.

2-3-13 Provisions

Provisions are recognized when the Company has a present legal or constructive obligation as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made. Provisions are reviewed at the financial position date and adjusted to reflect the current best estimate.

Where the effect of the time value of money is material, the amount of a provision should be the present value of the expected expenditures required to settle the obligation. Where discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

2-3-14 Social Insurance

The Company makes contributions to the Social Insurance Authority calculated as a percentage of the employees' salaries. The Company's obligations are limited to these contributions, which are expensed when due.

2-3-15 Legal reserve

According to the Company's articles of association, 5% of the net profits of the year is transferred to the legal reserve until this reserve reaches 50% of the issued capital. The reserve is used upon a decision from the general assembly meeting based on the proposal of the board of directors.

2-3-16 Borrowings

Borrowings are initially recognized at the value of the consideration received. Amounts maturing within one year are classified as current liabilities, unless the Company has the right to postpone the settlement for a year exceeding one year after the reporting date, then the loan balance should be classified as long-term liabilities.

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the effective interest rate method. Gains and losses are recognized in the income statement when the liabilities are derecognized as well as amortization through the effective interest rate method.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fee or costs that are an integral part of the effective interest rate. The effective interest rate amortization is included in finance cost in the statement of income.

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As of 31 December 2022

2 BASIS OF PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

2-3-17 Income taxes

Income tax is calculated in accordance with the Egyptian tax law.

Current income tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities using the tax rates and tax laws that are enacted in Egypt at the reporting date.

The current income tax charge is calculated on the basis of the tax laws enacted at the reporting date in Egypt. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax

Deferred income tax is recognized using the liability method on temporary differences between the amount attributed to an asset or liability for tax purposes (tax base) and its carrying amount in the balance sheet (accounting base) using the applicable tax rate.

Deferred tax asset is recognized when it is probable that the asset can be utilized to reduce future taxable profits and the asset is reduced by the portion that will not create future benefit.

Current and deferred tax shall be recognized as income or an expense and included in the statement of income for the period, except to the extent that the tax arises from a transaction or an event which is recognized, in the same or a different period, directly in equity.

2-3-18 Revenue recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the company and the revenue can be reliably measured.

Revenue is measured at the fair value of the consideration received, excluding discounts, rebates to customers and sales taxes or duty.

The following specific recognition criteria must also be met before revenue is recognized:

*** Sale of goods**

Revenue from the sale of goods is recognized when the significant risks and rewards of ownership of the goods have passed to the buyer, usually on delivery of the goods. Revenue from the sale of goods is measured at the fair value of the consideration received or receivable, net of returns and allowances, trade discounts and volume rebates, if any.

*** Interest income**

Interest income is recognized as interest accrues using the effective interest method. Interest income is included in finance income in the statement of income.

*** Government grants**

Government grants that are received as compensation for expenses or losses already incurred for the purpose of giving immediate financial support to the company with no further related costs are recognized in the income statement in the year in which they become virtually certain, and all attached conditions are complied with.

***Export support revenue**

Revenues for export subsidies are recognized as accrued revenue when the export invoice is issued.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2022

2 BASIS OF PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

2-3-19 Expenses

All expenses including operating expenses, general and administrative expenses and other expenses are recognized and charged to the statement of income in the financial year in which these expenses were incurred.

2-3-20 Borrowing costs

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset that require a substantial period of time to get ready for its intended use or sale, are capitalized as part of the cost of the asset. Other borrowing costs are expensed in the period in which they are incurred. Borrowing costs are the interest and other costs that a company incurs to borrow money.

2-3-21 Comprehensive Medical Insurance Law

On 11 January 2018, Law No. 2 of 2018 the Comprehensive Health Insurance Law was issued, which comes into effect on the day following the expiration of six months from the date of its publication in the official publications. This law added financial burdens to employers, Employers are obliged to pay their share of the contributions of their employees at 4% per month from the wage of the insured worker and not less than LE 50 per month. The employers are obliged to pay their monthly contributions to the Social Insurance Authority.

2-3-22 Related party transactions

Related parties represent associated companies, major shareholders, directors and key management personnel of the Company, and entities controlled, jointly controlled or significantly influenced by such parties. The terms and pricing policies for transactions with related parties are determined in accordance with the concluded contracts, and the prices of inter-transactions are determined according to the prices of dealing with third parties, and all legal procedures are taken to approve those transactions.

2-3-23 Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability or the most advantageous market for the asset or liability.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

For assets traded in an active market, fair value is determined by reference to quoted market bid prices.

The fair value of interest-bearing items is estimated based on discounted cash flows using interest rates for items with similar terms and risk characteristics.

For unquoted assets, fair value is determined by reference to the market value of a similar asset or is based on the expected discounted cash flows.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2022

2 BASIS OF PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

All assets and liabilities for which fair value is measured or disclosed in the Consolidated financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- *Level 1 – Fair value measurements* are those derived from quoted prices in an active market (that are unadjusted) for identical assets or liabilities.
- *Level 2 – Fair value measurements* are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e., as prices) or indirectly (i.e., derived from prices).
- *Level 3 – Fair value measurements* are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

2-3-24 Contingent Liabilities and Assets

Contingent liabilities are not recognized in the consolidated financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. A contingent asset is not recognized in the consolidated financial statements but is disclosed when an inflow of economic benefits is probable.

2-3-25 Impairment of assets

Impairment of financial assets

The Company assesses at each balance sheet date whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset and has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

Impairment of non-financial assets

The Company assesses at each balance sheet date whether there is an indication that an asset may be impaired. Where the carrying amount of an asset or cash-generating unit (CGU) exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Impairment losses are recognized in the statement of profit or loss.

A previously recognized impairment loss is only reversed if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the statement of profit or loss.

2-3-26 Statement of cash flows

The statement of cash flows is prepared using the indirect method.

2-3-27 Cash and cash equivalent

For the purpose of preparing the cash flow statement, the cash and cash equivalent comprise cash on hand, current accounts with banks and time deposits maturing within three months less bank overdrafts.

2-3-28 Segment Information

The main business segment of the company is the sector of production and sale of cheese products, the sector of production and sale of juice products, the sector of production and sale of baked goods products and periodic and annual financial reports on all revenues of the company are prepared on the basis of the existence of three main operating sectors and the executive management of the company monitors the operational units separately for the purpose of making decisions on the allocation of resources and performance evaluation.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2022

3 PROPERTY, PLANT AND EQUIPMENT (Continued)

- The cost of fixed assets as of 31 December 2022 includes EGP 88,368,347 which represents fully depreciated assets that are still in use.

Depreciation expense is allocated as follows:

	31/12/2022 LE
Cost of sales	72,640,945
Selling and marketing expenses (note 21)	12,699,537
General and administrative expenses (note 22)	<u>1,323,570</u>
	<u>86,664,052</u>

Disposals of property, plant and equipment represent the sale of some assets as follows:

Sale of assets	31/12/2022 LE	LE
Proceeds from sales of property, plant and equipment		794,920
Cost of disposed property, plant and equipment	941,000	
Accumulated depreciation relating to disposals	<u>(512,691)</u>	
Net book value of disposed property, plant and equipment		<u>428,309</u>
Gain from sale of property, plant and equipment (note 23)		<u>366,611</u>

Depreciation expense is also allocated as follows:

	31/12/2022 LE
Depreciation for the year	76,931,951
Depreciation for the year (First option)	2,344,521
Depreciation for the year (Third option)	<u>7,387,580</u>
	<u>86,664,052</u>

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3 PROPERTY, PLANT AND EQUIPMENT (Continued)

RIGHT OF USE ASSETS

	Buildings LE	Machines and equipment LE	Total LE
Cost			
As of 1 January 2022,	44,812,312	13,196,762	58,009,074
Additions	222,988	-	222,988
Disposals	(1,315,452)	-	(1,315,452)
As of 31 December 2022,	43,719,848	13,196,762	56,916,610
Accumulated Depreciation			
As of 1 January 2022,	(8,852,828)	(733,157)	(9,585,985)
Depreciation for the year	(8,631,985)	(1,099,730)	(9,731,715)
Disposals	456,532	-	456,532
As of 31 December 2022,	(17,028,281)	(1,832,887)	(18,861,168)
Net Book Value as of 31 December 2022	26,691,567	11,363,875	38,055,442
Net Book Value as of 31 December 2021	35,959,484	12,463,605	48,423,089

Depreciation expense also allocated as follows:

31/12/2022
LE
5,050,276
4,318,075
363,364
<u>9,731,715</u>

Cost of sales
Selling and marketing expenses (note 21)
General and administrative expenses (note 22)

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2022

3 PROPERTY, PLANT AND EQUIPMENT (Continued)

- Fixed assets and right of use assets have been merged and listed in the statement of financial position as follows: -

	31/12/2021	31/12/2020
	LE	LE
Net book value of fixed assets	682,347,875	542,877,232
Net book value of right of use assets	48,423,089	17,580,460
	<u>730,770,964</u>	<u>560,457,692</u>

	Land LE	Buildings LE	Machinery and equipment LE	Vehicles LE	Tools LE	Computers and software LE	Furniture and fixtures LE	Total LE
Cost								
As of 1 January, 2021	8,221,307	127,744,350	491,861,796	93,063,628	19,128,575	19,915,076	12,725,384	772,660,116
As of 1 January, 2021	-	-	24,204,416	-	-	-	-	24,204,416
Cost of capitalized assets as of 1 January 2021 (First option)	-	-	84,960,959	45,223,591	-	-	-	130,184,550
Cost of assets using valuation factor as of 1 January 2021 (third option)	-	1,854,294	28,122,002	3,120,265	1,790,833	2,477,917	563,245	37,928,556
Additions	-	93,744	160,123,508	-	-	-	-	160,217,252
Transferred from Projects under construction (Note 4)	-	3,261,964	11,311,873	3,006,623	-	-	-	17,580,460
Transferred from right of use assets to fixed assets	-	-	(273,000)	(286,588)	-	(17,371)	-	(576,959)
Disposals	-	-	(17,688)	(104,464)	-	-	-	(122,152)
Disposals of revalued assets								
As of 31 December, 2021	8,221,307	132,954,352	800,293,866	144,023,055	20,919,408	22,375,622	13,288,629	1,142,076,239
Accumulated depreciation								
As of 1 January, 2021	-	(14,807,572)	(186,361,324)	(47,188,694)	(12,231,190)	(12,515,656)	(6,729,393)	(279,833,829)
Accumulated depreciation for capitalized assets as of 1 January 2021 (First option)	-	-	(9,867,349)	-	-	-	-	(9,867,349)
Accumulated depreciation for cost adjustments using valuation factor (Third option) as of 1 January 2021	-	-	(65,250,452)	(29,220,220)	-	-	-	(94,470,672)
Depreciation for the year	-	(3,260,153)	(46,361,192)	(6,526,472)	(1,910,112)	(3,448,192)	(1,109,818)	(62,615,939)
Depreciation for transferred from right of use assets to fixed assets	-	(121,561)	(2,317,109)	(658,650)	-	-	-	(3,097,320)
Depreciation for capitalized assets (first option)	-	-	(2,344,521)	-	-	-	-	(2,344,521)
Depreciation for assets using valuation factor (Third option) - note (36)	-	-	(5,053,888)	(2,778,819)	-	-	-	(7,832,707)
Disposals	-	-	66,000	169,426	-	16,202	-	251,628
Disposals of revalued assets	-	-	17,688	64,657	-	-	-	82,345
As of 31 December, 2021	8,221,307	(18,189,286)	(317,472,147)	(86,138,772)	(14,141,302)	(15,947,646)	(7,839,211)	(459,728,364)
Net book value as of 31 December 2021								
Net book value as of 31 December 2021	8,221,307	114,765,066	482,821,719	57,884,283	6,778,106	6,427,976	5,449,418	682,347,875
Net book value as of 31 December 2020	8,221,307	112,936,778	339,548,046	61,878,305	6,897,385	7,399,420	5,995,991	542,877,232

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2022

3 PROPERTY, PLANT AND EQUIPMENT (Continued)

- The cost of fixed assets as of 31 December 2021 includes EGP 69,971,937 which represents fully depreciated assets that are still in use.

Depreciation expense is allocated as follows:

	31/12/2021
	LE
Cost of sales	61,711,703
Selling and marketing expenses (note 21)	13,327,005
General and administrative expenses (note 22)	851,779
	<u>75,890,487</u>

Disposals of property, plant and equipment represent the sale of some assets as follows:

	31/12/2021
	LE
Proceeds from sales of property, plant and equipment	699,111
Cost of disposed property, plant and equipment	(333,973)
Accumulated depreciation relating to disposals	
Net book value of disposed property, plant and equipment	
Gain from sale of property, plant and equipment (note 23)	

LE
488,460

365,138
123,322

Depreciation expense also allocated as follows:

	31/12/2021
	LE
Depreciation for the year	65,713,259
Depreciation for the year (First option)	2,344,521
Depreciation for the year (Third option)	7,832,707
	<u>75,890,487</u>

Depreciation for the year
Depreciation for the year (First option)
Depreciation for the year (Third option)

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As of 31 December 2022

3 PROPERTY, PLANT AND EQUIPMENT (Continued)

RIGHT OF USE ASSETS

	Buildings		Machines and equipment		Vehicles		Total	
	LE	LE	LE	LE	LE	LE	LE	LE
Cost								
As of 1 January 2021,	4,862,442	26,021,880	6,586,500		37,470,822			
Additions during the year - EAS 49 application	46,190,603	13,196,762	-		59,387,365			
Transferred to Fixed Assets	(4,862,442)	(26,021,880)	(6,586,500)		(37,470,822)			
Disposals	(1,378,291)	-	-		(1,378,291)			
As of 31 December, 2021	44,812,312	13,196,762	-		58,009,074			
Accumulated Depreciation								
As of 1 January 2021,	(1,600,478)	(14,710,007)	(3,579,877)		(19,890,362)			
Depreciation for the year	(9,120,829)	(733,157)	-		(9,853,986)			
Accumulated depreciation of right of use assets transferred to fixed assets	1,600,478	14,710,007	3,579,877		19,890,362			
Disposal	268,001	-	-		268,001			
As of 31 December, 2021	(8,852,828)	(733,157)	-		(9,585,985)			
Net book value as of 31 December 2021	35,959,484	12,463,605	-		48,423,089			
Net book value as of 31 December 2020	3,261,964	11,311,873	3,006,623		17,580,460			

- Depreciation expense also allocated as follows:

31/12/2022	LE
4,683,703	
4,806,919	
363,364	
9,853,986	

Cost of sales
Selling and marketing expenses (note 21)
General and administrative expenses (note 22)

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2022

4 PROJECTS UNDER CONSTRUCTION

	31/12/2022	31/12/2021
	LE	LE
1 January	52,487,907	188,369,546
Additions	74,650,074	24,335,613
Transferred to property, plant and equipment (note 3)	(24,600,666)	(160,217,252)
	<u>102,537,315</u>	<u>52,487,907</u>

Projects under construction are analysed as follows:

	31/12/2022	31/12/2021
	LE	LE
Buildings	24,789,664	24,058,371
Machinery and equipment	74,011,535	28,429,536
Software	3,736,116	-
	<u>102,537,315</u>	<u>52,487,907</u>

5 INVESTMENT IN ASSOCIATES

Subsidiary name	Country	Percentage of investment	Investment value	
			31/12/2022	31/12/2021
			LE	LE
FRIDOM Dairy International for dairy products	Egypt	49,00%	4,018,553	4,629,853

- Movement on the balance of investment in associate is as follows

	31/12/2022	31/12/2021
	LE	LE
Balance as of 1 January	4,629,853	4,629,853
Equity in losses of associate	(611,300)	-
Balance	<u>4,018,553</u>	<u>4,629,853</u>

- Fridom Dairy International Company for dairy products "FRIDOM Dairy International" is a joint stock company established in accordance with the provisions of Egyptian law, subject to the provisions of joint stock companies, partnership limited by shares, limited liability companies, and sole proprietorship companies promulgated by Law No. 159 of 1981.
- The company's authorized capital was set to US\$6,000,000 (six million) US dollars, and the company's issued capital was set at US\$600,000 (six hundred thousand) US dollars, distributed over 1,000,000 (million) shares, the value of each share is US\$0.6. The Arabian Food Industries Company "Domty" contributes to the capital of Fridom Dairy International Company for dairy products by 49%, which represents an amount of \$294,000 (two hundred and ninety-four thousand) dollars.
- **Purpose of Fridom Dairy International, Inc.**
 - Export,
 - General trade in what is permitted by law and distribution of food and dairy products.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2022

6 INVENTORIES

	31/12/2022	31/12/2021
	LE	LE
Raw materials	379,297,099	327,344,637
Spare parts	70,069,130	61,420,567
Work in process	468,776	1,836,236
Finished goods*	100,043,108	118,764,246
Goods in transit	24,150,169	6,830,813
	<u>574,028,282</u>	<u>516,196,499</u>
Write down of inventory	(1,941,200)	(1,941,200)
	<u>572,087,082</u>	<u>514,255,299</u>

* Finished inventory includes an amount of LE 3,292,640 which represents the cost of sales that expected to be returned, in accordance with Egyptian Accounting Standard No. (48) - Revenue from contracts with customers.

7 ACCOUNTS AND NOTES RECEIVABLE

	31/12/2022	31/12/2021
	LE	LE
Accounts receivable – Local market	557,323,928	584,312,014
Accounts receivable – Export	62,967,127	47,689,149
Notes receivable	52,225,071	46,813,298
	<u>672,516,126</u>	<u>678,814,461</u>
Impairment of accounts and notes receivable	(80,858,306)	(41,576,654)
	<u>591,657,820</u>	<u>637,237,807</u>

The movement of provision for impairment of accounts receivables represented as follows:

	2022	2021
	LE	LE
Balance as of 1 January	41,576,654	11,990,017
The impact of the initial application of EAS No. (47)	-	21,781,842
Charged during the year	39,281,652	7,804,795
Balance	<u>80,858,306</u>	<u>41,576,654</u>

8 PREPAYMENTS AND OTHER DEBIT BALANCES

	31/12/2022	31/12/2021
	LE	LE
Prepaid expenses	7,131,735	6,227,530
Deposits with others	8,172,626	5,853,820
Employees' advances	17,337,691	2,388,137
Advances to suppliers to purchase property, plant and equipment	40,072,315	23,433,035
Amount due from Tax Authority	57,426,387	32,709,266
Advances to suppliers	58,497,310	64,165,852
Letters of credit	5,277,916	-
Letters of credit cash cover	490,352	-
Other debit balances	<u>82,749,727</u>	<u>62,585,434</u>
	<u>277,156,059</u>	<u>197,363,074</u>
Impairment of prepayments and other receivables	(14,261,742)	(11,480,629)
	<u>262,894,317</u>	<u>185,882,445</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

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As of 31 December 2022

The movement of impairment of prepayments and other debit balances is represented as follows:

	2022	2021
	LE	LE
Balance as of 1 January	11,480,629	626,247
The impact of the initial application of EAS No, (47)	-	6,029,049
Charged during the year	2,829,238	4,825,333
No longer required	(48,125)	-
Balance	<u>14,261,742</u>	<u>11,480,629</u>

9 FINANCIAL INVESTMENTS AT AMORTIZED COST (TREASURY BILLS)

	31/12/2022	31/12/2021
	LE	LE
Nominal value of treasury bills	466,850,000	293,075,000
Deferred interest from treasury bills	(29,255,719)	(16,182,440)
Withholding tax on the interest charged to (Profit or loss statement)	<u>(3,096,544)</u>	<u>(3,548,877)</u>
	434,497,737	273,343,683
Impairment of treasury bills	<u>(2,005,886)</u>	<u>(1,421,384)</u>
Treasury bills balance	<u>432,491,851</u>	<u>271,922,299</u>

The movement of impairment of treasury bills is represented as follows:

	2022	2021
	LE	LE
Balance as of 1 January	1,421,384	-
The impact of the initial application of EAS No, (47)	-	1,808,607
Charged during the year	584,502	-
No longer required during the year	-	(387,223)
Balance	<u>2,005,886</u>	<u>1,421,384</u>

10 CASH ON HAND AND AT BANKS

	31/12/2022	31/12/2021
	LE	LE
a) Local Currency		
Cash on hand	16,567,330	9,441,646
Deposit	81,338,773	-
Current accounts	<u>278,000,000</u>	<u>128,270,419</u>
	<u>375,906,103</u>	<u>137,712,065</u>
b) Foreign currency		
Cash on hand	11,705,559	484,964
Current accounts	<u>52,546,826</u>	<u>25,745,077</u>
	<u>64,252,385</u>	<u>26,230,041</u>
	<u>440,158,488</u>	<u>163,942,106</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2022

11 PROVISIONS

	31/12/2022	31/12/2021
	LE	LE
Balance as of 1 January	6,785,113	6,396,323
Charge for the year	17,360,800	611,079
Used during the year	(1,952,497)	(222,289)
	<u>22,193,416</u>	<u>6,785,113</u>

The balance at 31 December 2022 is expected to be utilized in upcoming periods. According to the opinion of the Company's management after taking appropriate technical advice, the outcome of these claims will not give rise to any significant loss beyond the amounts provided at period end.

The information usually required by accounting standards is not disclosed because the management believes that to do so would seriously prejudice the outcome of the negotiation with those parties. These provisions are reviewed by management on an annual basis, and they are adjusted based on latest developments, discussions and agreements with those parties.

12 SHORT TERM CREDIT FACILITIES

	31/12/2022	31/12/2021
	LE	LE
Egyptian pounds	<u>1,247,679,118</u>	<u>1,009,448,556</u>
	<u>1,247,679,118</u>	<u>1,009,448,556</u>

- Credit facilities as of 31 December 2022 represent the used portion of the facilities granted to the company from banks amounting to LE 2,485 billion for the purpose of opening letter of credit and financing the company's ongoing activity. The credit facilities carry on average interest rate of 8.34% for facilities denominated in Egyptian pound.

13 TRADE AND NOTES PAYABLES

	31/12/2022	31/12/2021
	LE	LE
Trade payables	228,769,872	359,463,249
Notes payable	<u>1,116,615</u>	<u>3,328,023</u>
	<u>229,886,487</u>	<u>362,791,272</u>

14 ACCRUED EXPENSES AND OTHER CREDIT BALANCES

	31/12/2022	31/12/2021
	LE	LE
Accrued expenses	85,271,864	53,414,648
Deposits from others	2,236,935	581,997
Advances from customers	25,494,432	3,822,080
Due to Social Insurance Authority	3,813,496	3,245,177
Tax Authorities	13,436,203	16,646,477
Liability against expected sales return – EAS 48	4,351,947	1,177,877
Other credit balances	<u>3,596,885</u>	<u>3,629,545</u>
	<u>138,201,762</u>	<u>82,517,801</u>

15 TERM LOANS

	31/12/2022	31/12/2021
	LE	LE
Noncurrent portion	130,598,717	93,128,480
Current portion	<u>28,529,643</u>	<u>30,851,568</u>
	<u>159,128,360</u>	<u>123,980,048</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2022

15 TERM LOANS (Continued)

	CIB (1) LE	HSBC USD	EALB USD	CIB (2) LE	QNB LE	LE
Balance as of 1 January 2022	89,860,530	8,836,800	25,282,718	-	-	123,980,048
Proceeds during the year	-	-	-	31,247,019	24,152,252	55,399,271
Payments during the year	(15,297,822)	(8,836,800)	(6,716,946)	-	-	(30,851,568)
Forex losses on loans balances	-	-	10,600,609	-	-	10,600,609
Balance as of 31 December 2022	<u>74,562,708</u>	<u>-</u>	<u>29,166,381</u>	<u>31,247,019</u>	<u>24,152,252</u>	<u>159,128,360</u>

	CIB LE	HSBC USD	EALB USD	Total LE
Balance as of 1 January 2021	96,631,823	19,465,600	32,040,223	148,137,646
Proceeds during the year	-	-	-	-
Payments during the year	(6,771,293)	(10,628,800)	(6,757,505)	(24,157,598)
Balance as of 31 December 2021	<u>89,860,530</u>	<u>8,836,800</u>	<u>25,282,718</u>	<u>123,980,048</u>

- Loan from HSBC Bank - Foreign currency loan**

Represents a term loan granted to the Company during 2017, amounting to USD 3.36 million from HSBC Bank to refinance the current loans granted to the company by the bank as a working capital (short-term loans) and covering the deficit resulted from the reduction of local currency value, The loan is repayable over 60 monthly installments. The loan is fully settled in June 2022.

- **Interest rate:** the LIBOR price for 3 months plus a margin of 3% annually.
- **Guarantees:** insurance policies against all risks in favor of the bank as a first beneficiary, covering 110% of the outstanding debts, in addition to a commercial mortgage power of attorney on the physical and intangible assets of the company covering 110% of the amount of financing granted to the company. The aforementioned power of attorney has been canceled by virtue of a ratification report No. 344 / letter R / for the year 2022, issued by the Banks Authentication Office at the Real Estate Registration and Authentication Authority on 18 September 2022.

- Loan from Commercial International Bank (1)**

On 15/7/2019 the company signed a medium-term loan contract with The Commercial International Bank (CIB- Egypt), whereby the bank allows Domty to obtain a loan of up to 100 million Egyptian pounds, amounting to LE 100 million from CIB Bank

Purpose:

The loan proceeds will be used to finance the company's future expansion plan for the financial year 2019 for the company's new products represented in bakery and beyond with a maximum amount of L.E 100,000,000.

- Issuing letters of credit with maximum period of 365 days, with maximum amount of LE 33 million equivalents to USD 1,737,000.
- The company is committed to repay the loan amount on 20 quarterly installments starting after 18 months from the date of initial withdrawal
- **Interest rate:** a variable rate of the average corridor price announced by the Central Bank of Egypt, in addition to the margin.
- **Guarantees:** An insurance policy issued by an Egyptian insurance company acceptable to the bank and in its favor as a sole beneficiary against the installation risks of machines and equipment financed by the bank, provided that the installation period is covered by 115% of the total financing amount, including the replacement value. And that the policy should include coverage of the risk of riots and civil and labor disturbances at a rate of no less than 25% of the total amount of the policy.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2022

15 TERM LOANS (Continued)

- **Loan from Commercial International Bank (2)**

Represented in the value of medium-term financing granted to the company by the Commercial International Bank on 11/18/2021 (according to the initiative of the Central Bank of Egypt in December 2019) in an amount not exceeding LE 54,000,000 (only fifty-four million Egyptian pounds).

Purpose of the granted funding:

Financing the investment cost of the company related to the local purchase and/or importing part of the fourth production line for the bakery industry, the croissant production line, machinery and equipment, and both the additional costs and the installation cost for them, in accordance with the terms and conditions stipulated in the loan contract.

- The company is committed to repay the financing amount in 20 quarterly installments as soon as the grace period, which is specified for a maximum of twelve months, expires from the date of the first withdrawal of the financing amount or the withdrawal of the total financing amount.
- **The interest rate:** an 8% interest rate applies to the first tranche in accordance with the initiative of the Central Bank of Egypt, and the corridor interest rate for lending announced by the Central Bank of Egypt applies to the second tranche, in addition to the margin.
- **Guarantees:** an insurance policy issued by an Egyptian insurance company acceptable to the bank and in its favor as a single beneficiary, at a rate of 115% of the total amount of financing, including the replacement value, provided that the document includes coverage of the risk of riots and civil and labor disturbances at a rate of no less than 25% of the total amount of the policy.

- **Loan from EALB**

Represents a credit facility in the form of a long-term loan granted to the company by the Egyptian Arab Land Bank with a total amount of USD 2,100,000 (only two million and one hundred thousand US dollars only).

The purpose of the granted financing is to finance the import of the bakery production line.

- Loan term: 6 years, including the grace and withdrawal period, with a maximum of 12 months, to be paid in 20 equal quarterly installments
- Interest rate: 3.25% above the 3-month LIBOR rate, with a review of the LIBOR at the end of each fiscal quarter.
- Guarantees: Signing (4) promissory notes, each with a value of 525 thousand US dollars, for use in foreign currency. The company is also committed to allocating part of an insurance policy in favor of the bank, amounting to 110% of the total long-term financing against all risks.

- **Loan from QNB**

It is represented in a loan contract concluded with Qatar National Bank Al Ahli on 26/10/2021 (according to the initiative of the Central Bank of Egypt in December 2019) amounting to 66,000,000 Egyptian pounds (only sixty-six million Egyptian pounds).

The purpose of the granted facility is dedicated to finance production lines with the aim of increasing the production capacity of the industrial activity.

- Loan period: 5 years starting from the date of signing the loan contract and ending on 26/10/2026. This period includes the grace period and the withdrawal period, which is scheduled for one year from the date of the first withdrawal, all provided that the withdrawal conditions established under the loan contract are fulfilled, as well as providing the bank with the documents it deems to allow the withdrawal of loan

Repayment period: The company is obligated to repay the loan in 16 quarterly installments of equal value from the value of the balance used at the end of the withdrawal period in addition to the applicable return in accordance with the terms and conditions of the loan contract.

- Interest rate: 8% according to the initiative of the Central Bank of Egypt.
- Guarantees: an insurance policy in favor of the bank covering 110% of the loan value on the assets financed by the bank against all risks.

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16 CAPITAL

- The company's authorized capital as of 31 December 2022 amounts to LE 282,608,695 , (31 December 2021, LE 282,608,695).
- In 2012, the issued and paid-up capital was LE 30,000,000 divided over 1200000 shares of par value LE 25 each.
- The Extraordinary General Assembly approved the raise of the issued and paid-up capital by LE 20,000,000 divided over 800000 shares at the par value of LE 25 to reach LE 50,000,000 through share dividends of 2 shares for every 3 outstanding shares. The issued and paid-up capital becomes 50,000,000 Egyptian pounds, distributed over 2,000,000 shares, with a nominal value of 25 Egyptian pounds.
- On 21 October 2015, the Extraordinary General Assembly decided the fragmentation of the nominal value of each share from LE 25 to LE 0,2 and was approved in the commercial register on 15 December 2015.
- On 7 April 2016, the Board of Directors decided (authorized by the extraordinary General Assembly in the 15 January 2016) to increase the paid-up capital by LE 6,521,739 distributed over 32608695 shares with a nominal value of LE 0.2 per share then the initial public offering held on the final fair value for the share amounted to LE 9.20 per share were the difference of LE 9 was changed to share premium.
- According to article 94 of the Companies Law No, 159 of 1981 of the executive regulations, an amount of LE 9,366,743 were added from the share premium to the legal reserve, making the legal reserve is half of the issued capital, and a special reserve were charged with the remaining amount of the premium of LE 283,422,423 after deducting the issuance expenses of LE 689,089 and the capital increase was approved in the commercial register on 17 May 2016. Accordingly, the issued and paid-up capital as of 31 December 2022 amounted to LE 56,521,739 divided over 282608695 shares (31 December 2021: LE 56,521,739).
- On 31 March 2021, the Extraordinary General Assembly decided, to reduce the authorized capital from 500,000,000 Egyptian pounds to 282,608,695 Egyptian pounds in accordance with the provisions of Article No. 10 of the rules of listing in the Egyptian Stock Exchange that the authorized capital should not exceed five times the issued capital.

17 RETAINED EARNINGS

The balance of the Consolidated Retained Earnings on 31 December 2022, is as follows:

First: the profits for the period amounting to LE 265,701,857 which will be presented to the general assembly, which will consider approving the results of the year ending 31 December 2022.

Second: Retained Earnings from previous years with the amount of LE 465,586,495, which were presented to the general assemblies in previous years, and it was decided to pay the employees' share of the profits in full, and the retained profits became the right of the shareholders and the reward of the members of the board of directors when the general assembly decides to distribute them in the future.

Third: The consolidated retained earnings include an amount of LE 4,193,619 on 31 December 2022 (31 December 2021: LE 3,434,341) not available for distribution being the legal reserve of the subsidiary

18 MACHINES INSTALMENTS

The machine installments represent outstanding installments for the purchased packing machines from the supplier and do not bear interest. The balance is represented as follow:

	31/12/2022 LE	31/12/2021 LE
Not later than one year – current	2,106,060	4,173,683
	<u>2,106,060</u>	<u>4,173,683</u>

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As of 31 December 2022

19 SALES TAX PAYABLE ON PLANT AND EQUIPMENT

Sales tax payable on plant and equipment represents the deferred installments of sales tax on the imported machines and equipment which is deferred for 10 years with 3 years grace year in accordance with applicable laws.

20 INCOME TAXES

	2022	2021
	LE	LE
Current income tax	96,823,961	10,752,316
Deferred tax revenue	(11,903,639)	-
Deferred tax income	-	12,663,355
Settlement resulting from income tax paid in excess in prior years	-	(1,466,525)
	<u>84,920,322</u>	<u>21,949,146</u>

RECONCILIATION OF THE EFFECTIVE INCOME TAX RATE

	31/12/2022	31/12/2021
	LE	LE
Profit before income taxes	312,168,940	57,225,107
Add: Non-deductible expenses		
Accounting depreciation	86,664,052	75,890,487
Capital losses	-	1,170
Provisions formed during the year	60,056,192	13,241,207
Donations	5,552,534	461,150
Board of directors' allowances	750,000	450,000
Unrealized debit foreign exchange losses	577,112	-
Realized credit foreign exchange differences previously deducted on prior year	1,116,959	397,737
Effect of application of Egyptian Accounting Standard (48)	797,465	261,842
Excess of 7% of documented general and administrative expenses	18,327,033	9,095,717
Comprehensive contribution 0,25%	13,428,920	8,741,557
Cost of investment in treasury bills	1,307,421	-
Less: Deductible expenses		
Tax depreciation	(78,085,744)	(144,195,109)
Capital gains	(366,611)	(124,492)
Previously taxed provisions	(48,125)	-
Reversal of impairment in other debit balances	-	(387,223)
Donations to registered charities	(2,469,500)	(461,150)
Transactions that are not included in the income statement and are deductible costs	(5,867,320)	(4,543,840)
Realized debit foreign exchange differences previously added to prior year	-	(171,158)
Unrealized credit foreign exchange gains	(17,761,543)	(1,116,959)
Tax base	<u>396,147,785</u>	<u>14,766,043</u>
Income Tax	28.50% <u>89,133,252</u>	5.81% <u>3,322,360</u>
Returns on treasury bills	<u>38,453,547</u>	<u>37,149,780</u>
Tax due on treasury bills returns	20.00% <u>7,690,709</u>	20.00% <u>7,429,956</u>
Income taxes at the effective tax rate	27.57% <u>96,823,961</u>	11.39% <u>10,752,316</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

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20 INCOME TAXES (Continued)

Components of deferred tax liability are as follows:

	31/12/2022	31/12/2021
	LE	LE
Depreciation of Property, plant and equipment	57,005,035	58,325,143
Foreign exchange difference	3,866,497	251,315
Impairment of accounts receivables	(10,973,150)	(2,134,778)
Impairment of other debit balances	(1,711,451)	(1,085,700)
Deferred tax for Impairment of treasury bills	(131,513)	-
Impairment of treasury bill no longer required	87,125	87,125
Provisions	(4,083,965)	(177,785)
Deferred tax liability against right of use – EAS49	2,492,638	3,189,535
Deferred Tax Assets resulted from carry forward taxable losses	(5,118,478)	(4,980,966)
Impairment of accounts receivables – retained earnings	(4,900,914)	(4,900,914)
Impairment of other debit balances – retained earnings	(1,356,536)	(1,356,536)
Impairment of treasury bill – retained earnings	(406,937)	(406,937)
Net deferred tax (liability)	<u>34,768,351</u>	<u>46,809,502</u>

21 SELLING AND MARKETING EXPENSES

	2022	2021
	LE	LE
Marketing activities	188,976,742	114,734,662
Advertising activities	73,306,080	50,922,729
Salaries and wages	224,341,915	188,890,527
Warehousing	12,493,309	11,614,015
Vehicles and transportation rent and license	55,178,716	49,991,988
Spare parts and maintenance	41,020,342	31,775,338
Depreciation (Note 3)	12,699,537	13,327,005
Amortization – Right of Use (Note 3)	4,318,075	4,806,919
Insurance	4,271,090	5,429,419
Impairment of account receivables (Note 7)	39,281,652	7,804,795
Freight	53,138,570	50,142,526
Aging and emptying expense	6,241,220	5,435,199
Stationary	3,150,164	2,355,204
Medical care	2,217,100	2,658,733
Others	36,650,953	27,835,816
	<u>757,285,465</u>	<u>567,724,875</u>

22 GENERAL AND ADMINISTRATIVE EXPENSES

	2022	2021
	LE	LE
Salaries and wages	49,561,420	38,824,625
Board allowances	750,000	450,000
Depreciation (Note 3)	1,323,570	851,779
Depreciation – Right of Use (Note 3)	363,364	363,364
Vehicles and transportation rent and license	1,187,948	870,307
Stationary	455,610	265,669
Medical Care	452,130	438,135
Donations	2,469,500	461,150
Impairment of other debit balances (Note 8)	2,829,238	4,825,333
Provisions no longer required (Note 8)	(48,125)	-
Others	25,484,174	11,313,266
	<u>84,828,829</u>	<u>58,663,628</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

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23 NET OTHER OPERATING INCOME

	2022	2021
		LE
Export support subsidy	18,759,183	6,209,273
Marketing support from Tetra Pak Company	3,708,000	13,142,000
Miscellaneous income	3,546,499	1,296,460
Scrap sales	26,820,508	15,610,089
Gain from sale of fixed assets (note 3)	366,611	123,322
Gain on disposal of right of use assets (Cancelled Contracts)	90,511	-
	<u>53,291,312</u>	<u>36,381,144</u>

24 LOSS ON SALE OF TRADING SECURITIES

	2022	2021
	LE	LE
Purchase of Trading Securities	80,005,902	-
Sale of Trading Securities	(62,129,015)	-
	<u>17,876,887</u>	<u>-</u>

25 FINANCE INCOME

	2022	2021
	LE	LE
Interest of treasury bills	38,453,547	37,149,780
Interest of deposit	594,705	-
	<u>39,048,252</u>	<u>37,149,780</u>

26 FINANCE EXPENSES

	2022	2021
	LE	LE
Interest on loans and credit facilities	113,534,943	94,818,190
Interest Expense – lease liability	4,311,150	4,644,526
Losses (Gain) from foreign exchange differences	3,137,793	(2,581,051)
	<u>120,983,886</u>	<u>96,881,665</u>

27 CONTINGENT LIABILITIES

As of 31 December 2022, the Group had contingent liabilities in respect of banks' letter of guarantees issued by the banks amounting to LE 6,555,000 (31 December 2021: LE 4,599,748), And it is anticipated that no actual liability will arise as a result of these letters.

28 MERGER RESERVE

Merger reserve represents the difference between the nominal value of the shares of the subsidiary acquired in the common control transaction and the cash paid as consideration for such acquisition, until the date of the common control transaction, the merger reserve represents the nominal value of the shares of the subsidiary owned by the controlling shareholders of the parent, cash consideration paid by the company to the controlling shareholders for the purchase of the subsidiary shares on 30 April 2014 has been reflected as a distribution.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

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29 EARNING PER SHARE

Basic and diluted earnings per share are calculated by dividing the net profit for the year attributable to the equity holders of the Parent by the weighted average number of shares outstanding during the year.

	31/12/2022 LE	31/12/2021 LE
Net profit for the year	265,701,857	72,424,222
Employees and Board of directors' dividends*	(50,200,744)	(13,477,993)
Net profit available for distribution to shareholders of the parent	215,501,113	58,946,229
Number of shares outstanding	282,608,695	282,608,695
Basic and diluted earnings per share	0.76	0.209

* According to the Egyptian law, employees and Board of Directors members are entitled to a percentage of the company's profit as a profit sharing when dividends are declared.

30 CAPITAL COMMITMENTS

The balance of the company's contracted capital commitments as of 31 December 2022 amounted to LE 46,174,353 (31 December 2021: LE 65,659,368) as follows:

31 December 2022	Contract amount LE	Paid amount LE	Un-paid amount LE
Machines and equipment	66,818,643	(22,697,533)	44,122,110
Buildings	11,614,402	(9,561,159)	2,053,243
	<u>78,433,045</u>	<u>(32,258,692)</u>	<u>46,174,353</u>
31 December 2021	Contract amount LE	Paid amount LE	Un-paid amount LE
Machines and equipment	83,427,299	(20,914,071)	62,513,228
Buildings	4,280,200	(1,134,060)	3,146,140
	<u>87,707,499</u>	<u>(22,048,131)</u>	<u>65,659,368</u>

31 LEASE LIABILITY

Applying the Egyptian accounting standard No.49, lease liability balance as of 31 December 2022 amounted to LE 43,951,875 as follows:

	31/12/2022 LE	31/12/2021 LE
Balance as of 1 January 2022	49,961,855	243,391
Additions during the year	222,988	59,387,365
Terminated lease contracts	(949,431)	(1,166,534)
Accretion interest	4,311,150	4,644,526
Instalments paid through the year	(9,774,417)	(13,146,893)
Balance as of 31 December 2022	<u>43,772,145</u>	<u>49,961,855</u>
Less than one year	11,850,672	10,223,717
More than one year and less than five years	<u>31,921,473</u>	<u>39,738,138</u>
	<u>43,772,145</u>	<u>49,961,855</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

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32 SEGMENT REPORTING

In 2012, the company was operating in one segment, From September 2013, the Company started the production of juice and from September 2018, the Company started the production of Bakery products therefore the Company started to operate into three segments as follows:

- Dairy products
- Juice products
- Bakery products

The Executive Management Committee monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on gross profits and is measured consistently with profit or loss in the consolidated financial statements, However the Group's financing (including finance costs and finance income) and income taxes are managed on a Group basis and are not allocated to operating segments.

The amount of each segment item reported shall be the measure reported to the chief operating officer decision maker for the purposes of making decisions about allocating resources to the segment and assessing its performance.

Primary segments results – related products for the year ended 31 December 2022 are as follows:

	<u>Dairy products</u>	<u>Juice products</u>	<u>Bakery products</u>	<u>Total</u>
	LE	LE	LE	LE
Segment sales	3,851,457,331	389,675,202	979,914,983	5,221,047,516
Liability against sales returns	(2,882,436)	(291,634)	-	(3,174,070)
Segment cost of sales	(2,937,989,289)	(325,339,240)	(685,678,010)	(3,949,006,539)
Cost of sales returns	2,135,105	241,500	-	2,376,605
Gross profit	<u>912,720,711</u>	<u>64,285,828</u>	<u>294,236,973</u>	<u>1,271,243,512</u>

Operating expenses net of other operating income	(807,379,584)
Loss on sale of trading securities	(17,876,887)
Finance income	39,048,252
Finance expenses	(120,983,886)
Medical insurance contribution	(13,428,920)
Income tax expenses	(84,920,322)
Net profit for the year	<u>265,702,165</u>

	<u>Dairy products</u>	<u>Juice products</u>	<u>Bakery products</u>	<u>Unallocated</u>	<u>Total</u>
Depreciation for the year	(22,425,321)	(17,488,975)	(19,693,897)	(17,323,758)	(76,931,951)
Depreciation for the year (First option)	(1,486,019)	(858,502)	-	-	(2,344,521)
Depreciation for the year (Third option)	(1,823,141)	(2,837,957)	-	(2,726,482)	(7,387,580)
Depreciation – Right of use assets	(549,865)	(549,865)	-	(8,631,985)	(9,731,715)
	<u>(26,284,346)</u>	<u>(21,735,299)</u>	<u>(19,693,897)</u>	<u>(28,682,225)</u>	<u>(96,395,767)</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

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32 SEGMENT REPORTING (Continued)

Primary segments results – related products for year ended 31 December 2021 are as follows:

	<u>Dairy products</u>	<u>Juice products</u>	<u>Bakery products</u>	<u>Total</u>
	LE	LE	LE	LE
Segment sales	2,305,914,765	328,876,792	726,896,425	3,361,687,982
Liability against sales returns	(1,030,853)	(147,024)	-	(1,177,877)
Segment cost of sales	(1,816,377,221)	(276,848,329)	(515,121,046)	(2,608,346,596)
Cost of sales returns	787,570	128,465	-	916,035
Gross profit	<u>489,294,261</u>	<u>52,009,904</u>	<u>211,775,379</u>	<u>753,079,544</u>

Operating expenses net of other operating income	(590,231,215)
Finance income	37,149,780
Finance expenses	(96,881,665)
Medical insurance contribution	(8,741,557)
Income tax expenses	(21,949,146)
Net profit for the year	<u>72,425,741</u>

	<u>Dairy products</u>	<u>Juice product</u>	<u>Bakery products</u>	<u>Unallocated</u>	<u>Total</u>
Depreciation expenses	(21,829,342)	(11,835,586)	(15,013,373)	(17,034,958)	(65,713,259)
Depreciation for the year (First option)	(1,486,019)	(858,502)	-	-	(2,344,521)
Depreciation for the year (Third option)	(2,215,931)	(2,837,957)	-	(2,778,819)	(7,832,707)
Depreciation – Right of use assets	(366,579)	(366,578)	-	(9,120,829)	(9,853,986)
	<u>(25,897,871)</u>	<u>(15,898,623)</u>	<u>(15,013,373)</u>	<u>(28,934,606)</u>	<u>(85,744,473)</u>

Segments Assets

31 December 2022	<u>Dairy products</u>	<u>Juice products</u>	<u>Bakery products</u>	<u>Unallocated</u>	<u>Total</u>
	LE	LE	LE	LE	LE
Total assets	119,992,995	127,618,461	169,596,374	2,613,858,184	3,031,066,014
Capitalized assets (First option)	6,643,267	3,004,758	-	-	9,648,025
Revaluated assets (Third option)	2,639,968	7,355,553	-	10,350,794	20,346,315
Right of use assets	5,681,937	5,681,938	-	26,691,567	38,055,442
Total assets	<u>134,958,167</u>	<u>143,660,710</u>	<u>169,596,374</u>	<u>2,650,900,545</u>	<u>3,099,115,796</u>

Segments Assets

31 December 2021	<u>Dairy products</u>	<u>Juice products</u>	<u>Bakery products</u>	<u>Unallocated</u>	<u>Total</u>
	LE	LE	LE	LE	LE
Total assets	136,423,447	143,370,242	176,378,865	2,016,699,127	2,472,871,681
Capitalized assets (First option)	8,129,286	3,863,260	-	-	11,992,546
Revaluated assets (Third option)	4,463,108	10,193,511	-	13,184,745	27,841,364
Right of use assets	6,231,802	6,231,803	-	35,959,484	48,423,089
Total assets	<u>155,247,643</u>	<u>163,658,816</u>	<u>176,378,865</u>	<u>2,065,843,356</u>	<u>2,561,128,680</u>

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32 SEGMENT REPORTING (Continued)

Secondary segment results – geographical sales by areas for the year ended 31 December 2022 are as follows:

<u>Geographical areas</u>		
<u>Local</u>	31/12/2022	31/12/2021
	LE	LE
Cairo	2,450,840,648	1,680,148,085
Alexandria	537,325,340	370,665,702
Delta	972,969,726	582,674,319
Upper Egypt	979,771,663	591,382,436
	4,940,907,377	3,224,870,542
<u>Export</u>	280,140,139	136,817,440
	5,221,047,516	3,361,687,982
Sales returns provision	(3,174,070)	(1,177,877)
	5,217,873,446	3,360,510,105

33 TAX SITUATION

33-1 Arabian food industries company (DOMTY)

a) Corporate taxes

The Company was exempted from corporate taxes for ten years started from the commencement of operation till 31 December 2000.

The company submitted the tax declarations from inception until 2019 and they were inspected by the Tax Authorities and are currently being settled.

The company submitted the tax declaration for the year 2020 till 2021 to large taxpayers center and the large taxpayers center has notified the company of a (form 19 – estimated) and it was appealed, and the data and documents were prepared and submitted to large taxpayer center and waiting for re-examination.

b) Sales taxes / Value added tax

The Company's records were inspected and all taxes due were paid for the years from the commencement of operation till 31/12/2019.

From January 2020 till December 2022, the company submitted the sales tax returns on monthly basis and at the legal dates, and no notification was received from the tax authority examining those years.

c) Salary taxes

From commencement of operation till 31 December 2020, the Company's records were inspected and all taxes due were paid.

Years 2021 and 2022

According to the Unified Tax Procedures Law No. 206 of 2020 amended by Law 211 of 2020, the company has prepared and submitted the 2021 to 2022 adjustment to the tax system on the legal date.

For the period from 1 January 2023 till 31 January 2023, the company withheld and paid the taxes due on monthly basis at the legal dates according to payroll tax law.

d) Stamp duty taxes

For all years till 31 December 2015, stamp duty taxes have been inspected by the Tax Authority and paid by the Company.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

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33 TAX SITUATION (Continued)

Period from 1/1/2016 to 26/1/2022

The company calculates the tax on advertisements and submit them regularly, and the calculated tax has been paid, in light of the provisions of Law No. 3 of 2022, issued on 01/26/2022 and published in the Official Gazette at number 33/E.

Period from 27/1/2022 to 31/12/2022

The company calculates the tax on gas consumption and the other bases in addition to the development fee, and the company pays the tax regularly based on the subject form.

e) Withholding tax

From commencement of operation till 31 December 2015, the Company's records were inspected and all taxes due were paid.

The Company withholds tax from suppliers and service providers in accordance with tax law.

f) Real Estate tax

A decision was issued by the appeals committee regarding the real estate tax, the company was notified and objected it against the administrative court, the company settled the tax due regarding the decision of the appeals committee to avoid delay penalties, as well as the payment of the tax for the period until December 2021.

On August 30, 2022, Prime Minister Resolution No. 61 of 2022 was issued, which decided in its first article that the Ministry of Finance bears the full value of the "tax on constructed real estate" due on the constructed real estate used in the exercise of a number of activities, including the activity of food industries, starting from 1/1/ 2022 for a period of three years.

33-2 El Tatweer for Food Industries Company

a) Corporate taxes

From commencement of operation till 2019

The company submitted tax returns on the legal time, and all tax disputes were examined and settled.

Years from 2020-2021

The company submitted the tax return on the legal date, and there was no notification from the Investment Authority of the examination to date.

b) Sales taxes / Value added tax

From the commencement of operation till December 2022, the Company submitted the sales tax returns on monthly basis with the legal dates and no notification has been received from the Tax Authority for inspection to date.

c) Stamp Taxes

The years from the beginning of the activity until 31/12/2015, The period from 8/3/2009 to 31/12/2015 was assessed and the company appealed to the result of the examination

For the period from 1/1/2016 to 31/12/2022, no notification was received from tax authority regarding that period.

d) Salary taxes

From commencement of operation till December 2019

The company submitted tax returns, and all tax disputes were examined and settled.

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33 TAX SITUATION (Continued)

For year from 2020 till 2022

According of the Unified Tax Procedures Law No. 206 of 2020 amended by Law 211 of 2020, the company has prepared and submitted the period from 2020 - 2022 adjustment to the tax system on the legal date.

Period (from 1/1/2022 to 31/12/2022),

The company calculates the tax due on employees and workers for the period from 1 January 2023 till 31 January 2023. The company also makes payments under the wages and salaries tax account. The company has made a payment under the tax account calculated for the month of January 2023.

e) Withholding tax

The Company withholds tax on its transactions in accordance with the tax law.

34 RISK MANAGEMENT

a) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company is exposed to interest rate risk on its interest-bearing liabilities, banks credit facilities and long-term loans.

	31/12/2022	Effect on profit	31/12/2021	Effect on profit
	Change in	before tax	Change in	before tax
	interest rate		interest rate	
		LE		LE
Liabilities	+1%	(14,653,624)	+1%	(13,114,307)
	-1%	14,653,624	-1%	13,114,307

b) Foreign Currency Risk

The foreign currency risk is the risk that the value of the financial assets and liabilities and the related cash inflows and outflows in foreign currencies will fluctuate due to changes in foreign currency exchange rates. The total financial assets denominated in foreign currencies amount to LE 168,033,342 (31 December 2021: LE 108,164,912) whereas the total financial liabilities denominated in foreign currencies amounts to LE 149,040,492 (31 December 2021: LE 189,485,901).

c) Credit Risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss.

The Company seeks to limit its credit risk with respect to banks by applying many control procedures include credit limits and only dealing with reputable banks.

The Company seeks to limit its credit risk with respect to customers by

- Setting credit limits for all customers according to an internal evaluation policy.
- Assessing the customer's credit status in accordance with tight credit limits.
- Follow up on current customer balances.

The company avoids credit risks by applying many supervisory measures, and the company's dealings are limited to highly credit-efficient financial institutions.

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34 RISK MANAGEMENT (Continued)

d) Liquidity risk

The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of loans and finance lease. The company uses credit limits and monitors the loans due dates.

Financial Liabilities	Less than 3 months	From 3 to 12 months	From 1 to 5 years	More than 5 years	Total
31 December 2022					
Loans	6,864,140	21,665,503	130,598,717	-	159,128,360
Suppliers, accrued expenses and other payables	366,780,710	-	-	-	366,780,710
Sales tax payable on plant and equipment	190,924	-	-	-	190,924
Income tax payable	96,961,473	-	-	-	96,961,473
Notes payable	1,116,615	-	10,337	-	1,126,952
Total undiscounted financial liabilities	471,913,862	21,665,503	130,609,054	-	624,188,419
	Less than 3 months	From 3 to 12 months	From 1 to 5 years	More than 5 years	Total
31 December 2021					
Loans	7,926,450	22,925,118	93,128,480	-	123,980,048
Suppliers, accrued expenses and other payables	442,196,221	-	-	-	442,196,221
Sales tax payable on plant and equipment	389,250	290,184	190,917	-	870,351
Income tax payable	15,733,281	-	-	-	15,733,281
Notes payable	1,452,222	981,196	30,530	-	2,463,948
Total undiscounted financial liabilities	467,697,424	24,196,498	93,349,927	-	585,243,849

e) Capital risk management

The company manages its capital to ensure that it will continue in sufficient level while maximising the return to the shareholders through the optimisation of debt-to-equity balance. The company's overall strategy remains unchanged during the period.

35 FAIR VALUE OF FINANCIAL INSTRUMENTS

The Company's financial instruments are represented in financial assets and financial liabilities, The financial assets include cash on hands and banks, trade and notes receivables, due from related parties, and other receivables. The financial liabilities include trade and notes payables, term loans, short term credit facilities, machinery instalments, long term notes payable and other payables.

The significant accounting policies applied for the recognition and measurement of the above - mentioned financial assets and liabilities and the related income and expenses are included in note (2) of the notes to the financial statements.

The fair values of financial assets and liabilities do not differ materially from their carrying values, unless otherwise stated.

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36 PROPERTY, PLANT AND EQUIPMENT REVALUATION SURPLUS

	31/12/2022	31/12/2021
	LE	LE
Balance As of 1 January	32,540,057	40,412,571
Deduct		
Transferred to retained earnings from machinery revaluation surplus (Depreciation)	(4,661,098)	(5,053,888)
Transferred to retained earnings from vehicles revaluation surplus (Depreciation)	(2,726,482)	(2,778,819)
Transferred to retained earnings from vehicles revaluation surplus (Disposal)	(107,469)	(39,807)
	<u>25,045,008</u>	<u>32,540,057</u>

37 SIGNIFICANT EVENTS

On 21 March 2022, the Central Bank of Egypt decided to increase the overnight deposit and lending rates and CBE rate of principal operation, by 100 basis points, to 9.25%, 10.25, and 9.75%, respectively. Credit and discount rates were also raised by 100 basis points, reaching to 9.75%.

On 19 May 2022, the Monetary Policy Committee decided to increase the overnight deposit and lending rates and CBE rate of principal operation, by 200 basis points, to 11.25%, 12.25%, and 11.75%, respectively. Credit and discount rates were also raised by 200 basis points, reaching to 11.75%.

On 27 October 2022, the Monetary Policy Committee decided to increase the overnight deposit and lending rates and CBE rate of principal operation, by 200 basis points, to 13.25%, 14.25%, and 13.75%, respectively. Credit and discount rates were also raised by 200 basis points, reaching to 13.75%.

It is worth noting that the company enjoyed the interest rate set by the Central Bank of Egypt initiative to support the industrial sector, and it has not been increased until the date of ceasing the initiative on 22 November 2022.

The exchange rate of the Egyptian pound decreased against the US dollar and some other currencies, which resulted in foreign exchange differences of LE 3,137,793 for the nine-month period ending on 31 December 2022, within financing expenses.